

Task 1: Selection and Research

1. Selected Entity: Lendable Ltd / Zable

The selected regulated entity is Lendable Ltd and its consumer-facing brand Zable. Lendable Ltd is incorporated in England and Wales and is authorised and regulated by the Financial Conduct Authority under Firm Reference Number 720261. Its corporate website at lendable.com explicitly describes operations in the United Kingdom and North American markets. In the United States, Zable operates a credit card and consumer loan product and publishes state licensing disclosures at zable.com/licenses, placing the entity under federal fair lending jurisdiction — specifically the Equal Credit Opportunity Act (ECOA) and Regulation B — as well as applicable state consumer credit statutes. This single entity is therefore simultaneously subject to US and non-US regulatory obligations, satisfying the assignment requirement.

2. Selected Domain: AI Credit Scoring and Algorithmic Fairness

The chosen domain is AI-driven credit scoring and algorithmic fairness. Automated credit decisions affect access to borrowing, product pricing, and financial inclusion at scale. They also represent a textbook RegTech problem: the same underlying predictive model can be technically identical while being assessed under materially different legal and supervisory frameworks depending on the jurisdiction in which it is deployed. Lendable and Zable publicly emphasise automated underwriting and data-driven decision-making, making this domain directly relevant to the entity's real-world compliance obligations in both the United States and the United Kingdom.

3. Rationale for Selection

Lendable / Zable is an appropriate choice because it operates the same AI-driven credit product in two jurisdictions with meaningfully different regulatory philosophies. A compliance officer at such an entity cannot apply a single checklist: the US requires specific adverse action reasons and fair lending outcome analysis, while the UK requires evidence of consumer outcome monitoring and board-level accountability under the FCA Consumer Duty. The entity is also appropriately sized for a hypothetical RegTech tool — a specialist AI-lending platform rather than a large global bank — making the compliance problem realistic and tractable without becoming intractable.

4. Jurisdictional Comparison: United States and United Kingdom

In the United States, the core compliance logic for AI-driven credit decisions is anchored in the Equal Credit Opportunity Act (ECOA) and its implementing regulation, Regulation B. Lenders must not discriminate on the basis of protected characteristics, must provide specific and meaningful reasons for adverse credit actions, and must be able to defend the fairness of their model outcomes under regulatory examination. The Consumer Financial Protection Bureau (CFPB) is the primary federal enforcement authority for consumer credit fairness.

In the United Kingdom, the Financial Conduct Authority's Consumer Duty (PS22/9, effective 31 July 2023) creates outcome-based obligations that differ structurally from the US model. Lenders must demonstrate that their credit products produce good outcomes for customers, that foreseeable harms are identified and mitigated, and that monitoring evidence is available at board level. The UK framework shifts compliance from explaining individual decisions toward evidencing systemic product governance over time.

5. Political and Regulatory Divergence

5.1 Within-US Political Shift: Biden Era to Trump Era

The regulatory stance on AI-driven credit decisions within the United States has itself shifted with the political administration, which the assignment requires the tool to acknowledge. In October 2023, the CFPB under the Biden administration issued guidance explicitly stating that lenders using complex AI or algorithmic models in credit decisions must still provide specific and meaningful adverse action reasons to rejected applicants. The guidance rejected the argument that model complexity excuses vague explanations, and represented a tightening of the explainability standard for AI credit tools.

In April 2026, the CFPB under the Trump administration finalised a rewrite of Regulation B Subpart A, largely as proposed. This revision reduced the pressure toward AI-specific explainability that the Biden-era guidance had introduced. This is a deliberate political choice: the Trump administration has prioritised reducing regulatory burden on lenders over expanding AI-specific consumer protections. For a RegTech compliance tool, this shift is consequential. A tool calibrated to Biden-era enforcement expectations — requiring highly specific, model-derived adverse action reasons — may produce false positive findings under the revised Trump-era standard, which interprets the same statutory text more permissively. The jurisdiction configuration layer in the prototype must therefore be capable of versioning these rule changes, not treating US regulation as static.

5.2 Structural Divergence: US vs UK Regulatory Philosophies

The divergence between the United States and the United Kingdom is not merely technical — it reflects different political theories of what financial regulation is trying to achieve. The US framework relies on anti-discrimination law and a protected-class model: harm is defined as disparate treatment or disparate impact on a legally identified group, and remedy is centred on adverse action explanation at the level of the individual application. The regulatory assumption is that ex-post individual explanation, combined with statistical monitoring, is sufficient protection.

The UK Consumer Duty reflects a different political choice. The regulator expects firms to monitor outcomes across customer segments proactively, to present board-level evidence that foreseeable harms are addressed, and to demonstrate remediation when poor outcomes are identified. This shifts compliance from reactive individual explanation to proactive systemic outcome governance. A RegTech tool that only produces adverse action reasons satisfies the US philosophy but fails the UK one.

5.3 Model Risk Management: OCC Bulletin 2026-13

In 2026, the Office of the Comptroller of the Currency (OCC) issued Bulletin 2026-13, which updated model risk management guidance for OCC-supervised institutions. The bulletin is notable for explicitly excluding generative AI from its scope — a political and regulatory choice to treat GenAI under future separate guidance rather than fold it into the existing model risk framework. For AI credit scoring using traditional machine learning (logistic regression, gradient boosting, neural networks), OCC 2026-13 continues to require documented model validation, ongoing performance monitoring, a defined model lifecycle, and human accountability for model outcomes. The Task 3 prototype references this bulletin in its model risk layer: both the US and UK configurations require model card documentation and drift monitoring, consistent with OCC 2026-13's lifecycle expectations.

6. Relevance to the Tool Design

The Task 3 prototype implements a jurisdiction configuration layer that translates the above political and regulatory differences into executable operational checks. The US configuration applies ECOA / Regulation B-style fair lending outcome review and adverse action explanation logic. The UK configuration applies a stricter outcome disparity threshold and adds FCA Consumer Duty-style outcome monitoring, model card documentation, human oversight evidence, and remediation governance requirements. The two configurations produce materially different compliance statuses from the same model output — demonstrating that RegTech tools are political artefacts, encoding a specific regulatory interpretation rather than a universal standard. The rule version and last-reviewed date are stored in the configuration layer precisely to handle the kind of mid-period political shift described in Section 5.1.

7. References and URLs

- [1] Lendable official website — UK and North American markets described.
<https://www.lendable.com/>
- [2] Lendable UK — FCA-authorised and regulated entity, FRN 720261.
<https://www.lendable.co.uk/>
- [3] Zable US state licensing disclosures — confirms US regulated operations.
<https://www.zable.com/licenses>
- [4] CFPB (Biden era, October 2023) — Guidance on adverse action notices for AI-driven credit decisions; requires specific and meaningful explanations.
<https://www.consumerfinance.gov/about-us/newsroom/cfpb-issues-guidance-on-credit-denials-by-lenders-using-artificial-intelligence/>
- [5] CFPB (Trump era, April 2026) — Regulation B Subpart A rewrite finalised; reduces AI-specific explainability obligations.
<https://www.consumerfinancialserviceslawmonitor.com/2026/04/cfpb-finalizes-regulation-b-subpart-a-rule-largely-as-proposed/>
- [6] OCC Bulletin 2026-13 — Revised model risk management guidance; explicitly excludes generative AI from scope.
<https://www.occ.treas.gov/news-issuances/bulletins/2026/bulletin-2026-13.html>
- [7] FCA Consumer Duty — Year 2 board reports and outcome monitoring progress.
<https://www.fca.org.uk/news/blogs/year-2-consumer-duty-board-reports-progress-and-what-comes-next>
- [8] FCA Consumer Duty — Multi-firm review of implementation plans.
<https://www.fca.org.uk/publications/multi-firm-reviews/consumer-duty-implementation-plans>